BERNSTEIN
SOCIETE GENERALE GROUP

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Payments, Processors & IT Services

Block Inc

Rating

Outperform

Price Target

XYZ **95.00 USD**

Block 3q26: Can Neighborhoods (if successful) finally attract more long-onlys to the stock?

Block delivered a strong 3q26 with sustained acceleration in Square GPV, green shoots in Cash App MAUs from Neighborhoods, strong early 2027 guidance and some early traction in its newer AI products (e.g., Buzz). The growth in Cash App Borrow (including BNPL on Cash Card, and borrow transition from 4 week to 6 week - which was dilutive to origination growth but accretive to take rate) helped Block beat gross profit by 4% (in-line on Square and 5% beat on Cash App) and Adj. Operating Income by 5%. The early 2027 guidance, 15% GP growth & $4.575 Adj. OI, is 2% and 4% ahead of consensus.

There is a lot to unpack in Block's 3q earnings, including the new disclosures on credit products. We believe the 3 key investor questions coming out of the print include: 1) Can Cash App MAUs sustainably improve (beyond the LSD% growth implied in the guide for next year) with benefits from newer launches such as Neighborhoods? 2) Can Square GPV continue to accelerate given recent investments in products and GTM, 3) Is Block a 'good business' with management investors can support, and what multiple should it trade at? Note that over the last two years, Block's GP and Adj. OI estimates have been revised up by 10% and 20% and yet the multiple has been revised down by 20%.

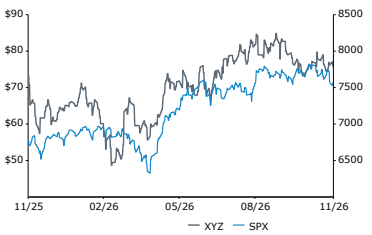
On 1) We believe acceleration of Cash App MAU is key to Block getting a 'multiple'. While the lending businesses have driven astonishing GP (and more to come next year with expanded limits on 6 week borrow, scaling of BNPL on Cash App Card, etc.) - investors are not ready to assign a high multiple on this (more on that below). Neighborhoods, however, is deeply interesting. Block scaled Neighborhoods to 30k sellers representing ~$5B in annualized GPV as of Sep'26 (5x vs. June). The company noted 500k users on these products - and half of them were new to Cash App. We note that it is too early to assess retention rates, etc. and also highlight that the incremental users tend to be affluent - and will eventually require different monetization frameworks. Nevertheless, a key differentiation for Cash App (in an ocean of 'digital bank/lender' competitors) has been its unique customer acquisition engine with P2P - Neighborhoods potentially extend that competitive advantage.

Close Date	3 Nov 2026
XYZ Close Price (USD)	76.00
Price Target (USD)	95.00
Upside/(Downside)	25%
52-Week Range	86.92/48.21
SPX	7,568.92
FYE	Dec
Div Yield	NA
Market Cap (USD) (M)	45,944
EV (USD) (M)	43,385

Performance	YTD	1M	6M	12M
Absolute (%)	16.8	2.2	5.7	4.7
SPX (%)	10.6	(2.0)	4.7	10.5
Relative (%)	6.2	4.2	1.0	(5.8)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



[continued on next page]

Adjusted EPS	F25A	F26E	F27E
XYZ (USD)	2.36	4.03	5.43

Financials	F25A	F26E	F27E	CAGR
EBIT (M)	2,084	3,465	4,717	--
Revenues (M)	24,194	25,806	28,769	--

Valuation Metrics	25A	26E	27E
EV/EBIT (x)	20.8	12.5	9.2
Adjusted P/E (x)	32.1	18.9	14.0

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.
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DETAILS

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On 2) Square GPV appears to have legitimately accelerated especially in the U.S. from lows of 5% in 3Q24 to now 10% given significant improvements and velocity of product, GTM efforts (e.g., NVA through self-onboarding up at fastest rate in the past decade through Aug'26 YTD, new sellers joining via on ISOs up 90% QoQ). We believe Square GPV, along with Cash App MAUs, are the two biggest KPIs investors assess to gain conviction on Block's long-term growth.

On 3) Block is a somewhat polarizing stock amongst investors with a variety of investor grievances, including on corporate governance, historical expense discipline and lack of prioritization, the quality of Cash App lending-driven growth (lending can have high ROI until it doesn't), and the highly competitive end-markets that have competitors which have executed better (e.g., Toast in merchant, Chime in digital banking) with better focus and fewer distractions. That said, Block's multiple is now 14x for a potentially LDD-teens top-line growth over the coming years (i.e. beyond 2027) and high-teens bottomline - an upside case (20%+) for the next year involves further multiple compression given 30%+ EPS growth.

INVESTMENT IMPLICATIONS

We rate Block OP.

REVIEW OF THE QUARTER

CASH APP

- Cash App gross profit grew 27% yoy to $2.1B, vs 31%/38% in 2q/1q26 and was 5ppt ahead of consensus estimates. The growth was primarily driven by Commerce Enablement and Financial Solutions where gross profit was up 27%/36% yoy respectively.

- **Cash App MAUs improved sequentially, growing to 60M** (1ppt ahead of consensus), with key drivers including Neighborhoods, Teens, and Families. Further, management continues to expect LSD% growth in MAUs in 4q26 and FY27, with investments in the P2P network, improvements in their GTM motion, Neighborhoods (rolled out to 30K sellers in late August) and Families (product improvements, GTM partnerships and Tags) expected to be key drivers.

- **Primary Banking Actives (PBAs) were 9.4M** (up 13%, flat vs 2q26) in 3q. Further, inflows per active were up 6% in the qtr, and overall consumer lending origination volume grew 40% to $19B (vs 59%/82%/69% in 2q/1q26/4q25), primarily driven by Cash App Borrow originations and Afterpay Post-Purchase. Lending origination volume was negatively impacted by borrow duration change from 4 week to 6 week. Management highlighted that Afterpay Post-Purchase origination volume grew 3x YoY, pre-purchase origination volume grew 3x QoQ.

- **On Commerce Enablement,** management highlighted that volumes were up 14% to $56.9B (driven by Cash App Card and Afterpay BNPL) and monetization rate stood at 1.74% (up 18bps yoy), given an increase in BNPL adoption on Cash App Card (10% attachment rate) via Afterpay Pre- and Post-Purchase.

  - Management also highlighted continued expansion of Cash App Pay distribution, including Roblox as well as partnerships with Checkout.com, Fiserv and Finix.

- **On Financial Solutions,** management highlighted that gross profit growth was mainly driven by Cash App Borrow.

  - **Management noted that as of 3q, they completed the migration of Cash App Borrow from a 4-week to 6-week construct** to meet customer requests of higher payment flexibility. While Borrow limits were kept constant during this migration (resulting in reduced originations per customer by 7% QoQ), management expects to increase Borrow limits again in the near-term.

- **Borrow:** Management highlighted that the transition from 4-week (5% fee) to 6-week loans (7.5% fee), was aimed at improving not just customer flexibility but also Borrow economics. Despite the decline in originations per customer QoQ, the roll-out of longer-duration loans delivered stronger margins and higher customer retention. Separately, management increased Borrow's target variable profit margin from 2% to 2.8%. Further, management also noted that despite higher

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origination volumes, variable profit margins remained consistent YoY, with a 37% target return on capital across the lending portfolio.

  - **Further, on lending, management highlighted key growth drivers i.e.** 1) Borrow duration migration, 2) Ongoing testing of higher Borrow limits (current caps at $1,500 for Borrow vs $3,000 for BNPL), 3) Scaling on Pre-and-Post-Purchase BNPL and Afterpay on Cash Card, 4) New products within lending aimed at different customer segments. Management noted that Post-Purchase BNPL is currently operating at 3x the origination volume that Borrow was at the same stage of development, while Afterpay on Cash App Card is operating at more than 20x the origination volume that Borrow was at the same stage of development.

- **On Neighborhoods,** management highlighted that the product had now reached product market fit, with the focus now shifting toward scaling the product. Further, sellers on the platform now represent $5B in annualized GPV (5x June-levels; added 30K merchant sellers enabled in late Aug'26). Management also noted that Neighborhoods now has 500K+ active users (as of Sep'26), with ~50% of those users incremental to Cash App. Management noted that sellers that had been live on Neighborhoods for more than one year averaged over 1K followers, with approximately 10% of their GPV coming through Neighborhoods. Going forward, management expects to add more sellers in 4Q26 and early 2027, and once sufficient geographic density is achieved, make Neighborhoods tab/map available to all Cash App actives. Management also highlighted plans to further integrate Neighborhoods with Square Loyalty and Square Online and noted potential opportunities to cross-sell additional commerce tools.

- **On Cash App Score,** management highlighted that they are working on extending their underwriting capabilities beyond Block's lending products. Block recently announced a partnership with Nova credit, whilst other additional partners also evaluate Cash App score via data studies. Management noted that internal experiments suggest Cash App Score could enable up to 30% higher auto-loan approvals at a constant loss target relative to existing approaches. Further, Cash App Score is one of the early stage initiatives that the company is currently investing in, but FY27 outlook doesn't have reliance on contributions from these initiatives.

SQUARE

- Square gross profit grew 14% yoy to $1.16B in 3q, in-line with consensus and driven by growth in volumes, software adoption and Square loans. GPV grew 13.7% (14% CC) to $76.36B (1ppt ahead of consensus), its strongest growth rate since 1Q23 (flat vs 13% cc in 2Q26) and driven by F&B, mid-market and international that saw 20%+ growth each in 3Q26.

- International GPV grew 26% (26% cc) and US GPV grew 10% in 3q (flat vs 2q).

  - Management noted that through Aug'26, NVA via self-onboarding grew at its fastest rate in the past decade, new sellers joining via ISO grew 90% QoQ, with ISO channel growing to 400 partners (zero a year ago; small channel for Square). Management also highlighted first-party field sales and enterprise as core focus areas, which continued to drive seller acquisition across the U.S. and RoW.

  - Management highlighted that they have released 180 features in 2026 YTD vs. 2024 and 2025 combined, with Kiosk and Squaremates (previously known as Managerbot; AI-powered assistant for businesses) being newer launches. They also noted that only 16% of their US sellers are currently using monetized Square software as of Sep'26.

GUIDANCE

- Block raised FY26 guidance across all three metrics: Gross Profit, Adj. Operating Income, and Adj. EPS. The raise reflects their performance in 3Q and higher expectations for the remainder of the year. The company also provided their preliminary FY27 outlook.

- **2026 outlook revised higher:**

  - Management expects 2026 gross profit to be $12.626B or 22% growth (vs. $12.51B or 21% YoY), adj. operating income to be $3.519B, adj. operating margin to be 28% and Rule of X to be 50% (vs $3.47B or 28% margin prior; Rule of X at 49%), and adj. EPS to be $4.15 (vs ~$4.02 prior).

- **4q26 outlook:**

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- Management expects 4q26 gross profit to be $3.315B or 15% growth, adj. operating income to be $1.005B, adj. operating margin to be 30% and Rule of X to be 46%. Adj. EPS is expected to be $1.15, up 77% YoY.
- Cash App MAUs are expected to grow LSD% in 4q.

- **Preliminary FY27 outlook:**
  - Management expects FY27 gross profit to be $14.519B, up 15% YoY and adj. operating income to be $4.575B, with margin of 32% and Rule of X of 47%.
  - Cash App MAUs are expected to grow LSD% in FY27.

OTHER ITEMS:

- Management highlighted that they are bringing their AI tools to other companies via Builderlabs, a new ecosystem which they will introduce at their Builderlab event next week, along with Buzz 1.0.
  - Management noted that Buzz has been 2 years in the making, built with the intention to use internally (replacing 3P vendors) and also enabling other smaller/larger companies to build similar capabilities. Further, they also highlighted how they are showing sellers what Buzz looks like, along with how they could integrate with Squaremates (previously Managerbot), an AI-powered assistant for businesses.
  - Lastly, management also highlighted that they are testing multiple ways they can monetize their AI tools, with the first monetization expected to take place in 4q26, based on the feedback they receive.
- On Squaremates, management highlighted that it was part of the company's efforts to build intelligence capabilities for customers incl. Square Kiosk and Moneybot.
  - Management also noted that sellers want to give their staff access to AI tools, starting with asking business questions, building charts to take actions and assist teams. Squaremates is being characterized as a newer initiative that the company will be investing in, but noted they do not depend on this product to achieve FY27 guidance.

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EXHIBIT 1: **Block beat on the key KPIs this quarter - Gross Profits, and Adj. Operating Income**

							Bern.	% O/(U)	Cons.	% O/(U)
in $M unless otherwise specified	2023	2024	2025	1Q26	2Q26	3Q26	3Q26E		3Q26E	
Gross Payment Volume ($M)										
GPV	**227,699**	**240,813**	**259,631**	**63,109**	**74,734**	**78,153**	**77,900**	*0%*	**77,224**	*1%*
% YoY Growth	*11.9%*	*5.8%*	*7.8%*	*11.1%*	*12.2%*	*12.8%*	*12.4%*		*11.5%*	
Square GPV	**209,612**	**227,608**	**250,460**	**61,209**	**72,848**	**76,359**	**75,746**	***1%***	**75,231**	*1%*
% YoY Growth	*12.4%*	*8.6%*	*10.0%*	*13.1%*	*13.4%*	*13.7%*	*12.8%*		*12.0%*	
% YoY US Growth	***10.0%***	***6.0%***	***7.2%***	***8.2%***	***9.8%***	***10.0%***				
Cash App GPV	**18,087**	**13,205**	**9,171**	**1,900**	**1,886**	**1,794**	**2,153**	*(12%)*	**1,994**	*(10%)*
% YoY Growth	*5.7%*	*(27.0%)*	*(30.5%)*	*(29.5%)*	*(20.3%)*	*(15.9%)*	*1.0%*		*(6.5%)*	
Gross Profit										
Gross Profit	**7,505**	**8,889**	**10,361**	**2,909**	**3,166**	**3,235**	**3,094**	***5%***	**3,112**	***4%***
% YoY Growth	*25.3%*	*18.4%*	*16.6%*	*27.0%*	*24.8%*	*21.5%*	*16.2%*		*16.9%*	
Transaction, loan and advance losses		**794**	**1,337**	**500**	**585**	**602**	**436**	*38%*	**566**	*6%*
Gross Profit after transaction, loan and advance losses	**6,844**	**8,095**	**9,024**	**2,409**	**2,581**	**2,633**	**2,658**	*(1%)*	**2,546**	*3%*
% YoY Growth	*25.8%*	*18.3%*	*11.5%*	*13.6%*	*15.1%*	*14.6%*	*15.6%*	*(7%)*	*10.8%*	
Square Gross Profit	**3,129**	**3,599**	**3,936**	**982**	**1,160**	**1,157**	**1,143**	*1%*	**1,157**	*0%*
% YoY Growth	*15.6%*	*15.0%*	*9.4%*	*9.4%*	*13.0%*	*13.7%*	*12.3%*	*11.4%*	*13.6%*	
Cash App Gross Profit	**4,323**	**5,239**	**6,336**	**1,908**	**1,973**	**2,070**	**1,943**	*7%*	**1,970**	*5%*
% YoY Growth	*33.2%*	*21.2%*	*20.9%*	*38.3%*	*31.4%*	*27.5%*	*19.6%*		*21.3%*	
Corporates and Other	**53**	**51**	**89**	**19**	**33**	**8**	**9**	*(9%)*	**(15)**	*(153%)*
% YoY Growth	*31.9%*	*(3.0%)*	*74.1%*	*58.3%*	*266.7%*	*(60.0%)*	*(56.2%)*		*(175.4%)*	
Non-GAAP Expense										
Non-GAAP operating expense	**5,790**	**7,349**	**8,332**	**2,194**	**2,315**	**2,325**	**2,270**	*2%*		
% YoY Growth	*14%*	*27%*	*13%*	*19%*	*16%*	*6%*	*3%*			
Non-GAAP P&L										
Net revenue										
Commerce enablement	9,531	10,513	11,514	2,938	3,342	3,476	3,455	*1%*	3,392	*2%*
Financial solutions	2,718	3,251	4,177	1,322	1,382	1,440	1,314	*10%*	1,400	*3%*
Bitcoin ecosystem	9,667	10,358	8,503	1,796	1,894	1,804	1,822	*(1%)*	1,814	*(1%)*
Amortization of acquired technology										
Net revenue	**21,916**	**24,121**	**24,194**	**6,057**	**6,618**	**6,720**	**6,591**	***2%***	**6,607**	***2%***
Adjusted EBITDA	**1,788**	**3,029**	**3,467**	**1,010**	**1,169**	**1,228**	**1,205**	***2%***	**1,199**	***2%***
% YoY Growth	*80%*	*69%*	*14%*	*24%*	*31%*	*47%*	*45%*		*44%*	
Adjusted EBITDA margin (on GP)	*24%*	*34%*	*33%*	*35%*	*37%*	*38%*	*39%*	*(3%)*	*39%*	*(1%)*
Non-GAAP Net income	**1,131**	**1,243**	**1,479**	**513**	**620**	**697**	**581**	***20%***	**625**	***12%***
% YoY Growth	*84%*	*10%*	*19%*	*45%*	*61%*	*107%*	*73%*		*85%*	
Adj. Operating Income	**351**	**1,609**	**2,084**	**728**	**864**	**923**	**864**	***7%***	**880**	***5%***
% margin	***5%***	***18%***	***20%***	***25%***	***27%***	***29%***	***28%***		***28%***	
Non-GAAP diluted EPS ($)	**1.80**	**1.95**	**2.37**	**0.85**	**1.02**	**1.13**	**0.98**	***15%***	**1.02**	***10%***
% YoY Growth	*80%*	*9%*	*21%*	*52%*	*64%*	*109%*	*82%*		*90%*	
Rule of 40 (%)	***30%***	***36.5%***	***36.7%***	***52%***	***52%***	***50%***	***44%***	*13%*	***45%***	***15%***

Source: Company reports, Bloomberg, Visible Alpha, Bernstein estimates and analysis

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EXHIBIT 2: **Cash App MAUs came in ahead of consensus**

							Bern.	% O/(U)	Cons.	% O/(U)
	2023	2024	2025	1Q26	2Q26	3Q26	3Q26E		3Q26E	
Other Metrics										
Cash App MAUs (M)	56	57	59	59	59	60	60	0%	59	1%
% YoY Growth	9.8%	1.8%	3.5%	4%	4%	3%	3%		2%	
Cash App Primary Banking Actives (M)	6.4	7.6	9.3	9.7	9.4	9.4				
% YoY Growth		19%	22%	17%	18%	13%				
Cash App Gross Profit / User (ann., $)	66	75	110	129	134	138	130	6%	133	4%
% YoY Growth	19%	14%	46%	34%	27%	23%	16%		18%	
Cash App Commerce Enablement Volume ($B)		172.5	199.4	55.0	56.5	56.9				
% YoY Growth			16%	18%	17%	14%				
Cash App Commerce Enablement Monetization Rate				1.61%	1.65%	1.74%				
Consumer Lending Origination Volume ($B)		35.7	54	17.6	18.9	19.0				
% YoY Growth			51%	82%	59%	40%				
Inflows / Active ($)				1,494	1,469	1,446	1,475	(2%)		
% YoY Growth	8%	10%	10%	10%	9%	6%	8%			
Square Commerce Enablement Monetization Rate				1.22%	1.23%	NA				
Square Financial Solutions Monetization Rate				0.45%	0.41%	NA				

Source: Company reports, Bloomberg, Visible Alpha, Bernstein estimates and analysis

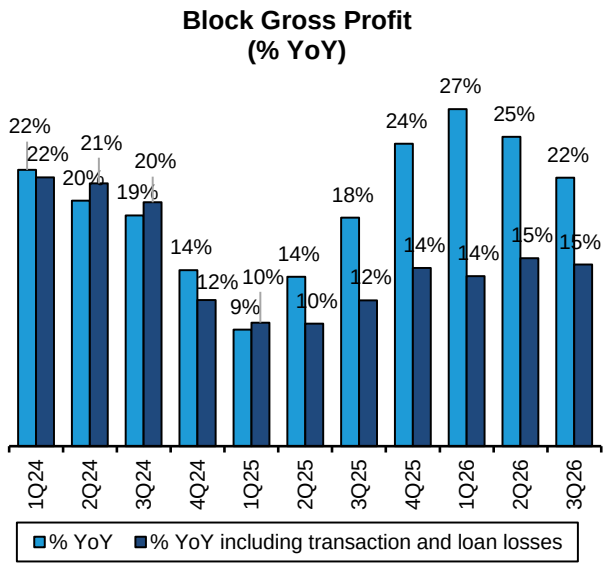
EXHIBIT 3: **Block raised FY2026 guidance and implied 4q gudiance, with Gross profit now expected to grow ~22% for FY26**

	2026E			4Q26E			2027E		
	Guide	Cons	% delta	Guide	Cons	Delta vs Guide (%)	Guide	Cons	% delta
Gross Profit ($M)	12,626	12,378	2.0%	3,315	3,309	0.2%	14,519	14,204	2%
% YoY Growth	22%	19%		15%	15%		15%	15%	
Adj. OI ($M)	3,519	3,450	2.0%	1,005	1,000	0.5%	4,575	4,411	4%
% YoY Growth	69%	66%		71%	70%		30%	28%	
% Margin	28%	28%		30%	30%		32%	31%	
Rule of 40 (%)	49%	47%		46%	45%	0.7%	47%	46%	
Adj. EPS ($)	$4.15	$4.06	2.2%	$1.15	$1.15	0.3%			
% YoY Growth	75%	71%		77%	76%				

Source: Company reports, Bloomberg, Bernstein analysis

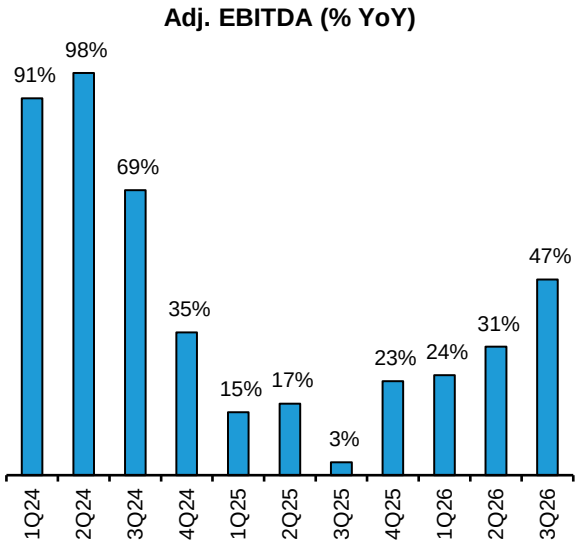
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EXHIBIT 4: **Total Block Gross Profit grew 22% yoy in 3q26**



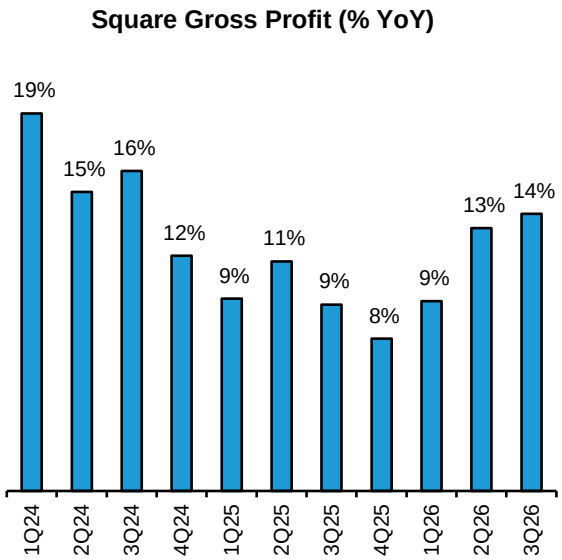
Source: Company reports, Bernstein analysis

EXHIBIT 5: **Adj. EBITDA grew 47% in 3q26**



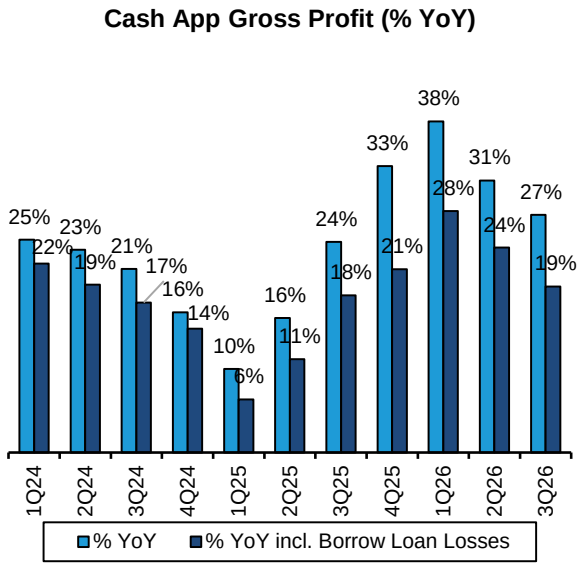
Source: Company reports, Bernstein analysis

EXHIBIT 6: **Square Gross Profit grew 14% yoy in 3q26**



Source: Company reports, Bernstein analysis

EXHIBIT 7: **Cash App Gross Profit grew 27% in 3q**

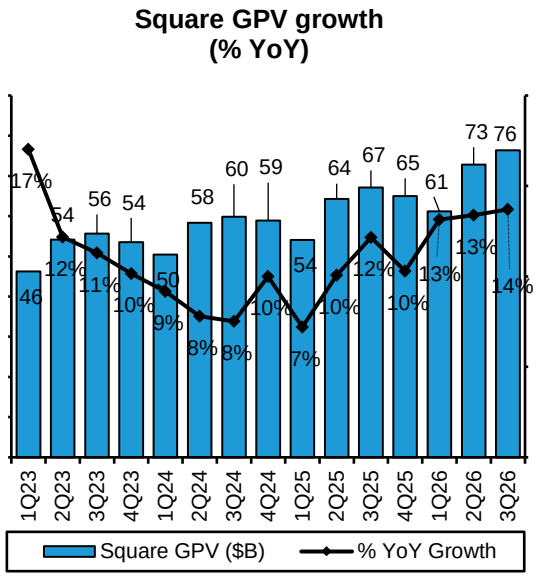


Source: Company reports, Bernstein analysis

SQUARE

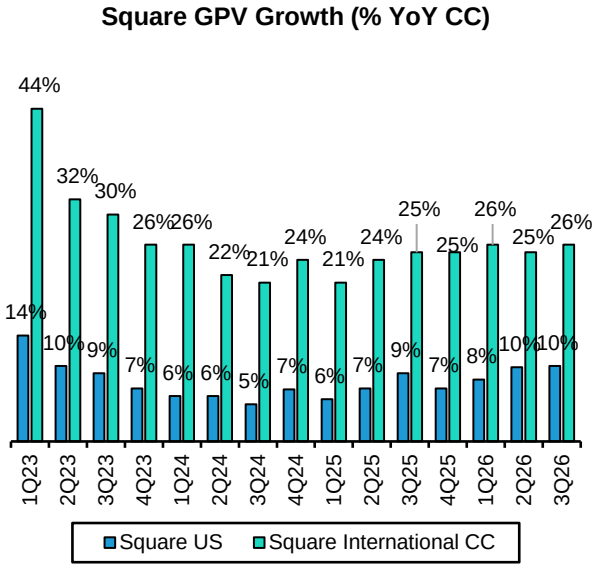
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EXHIBIT 8: **Square GPV grew 14% during the qtr, 1ppt ahead vs 2q**



Source: Company reports, Bernstein analysis

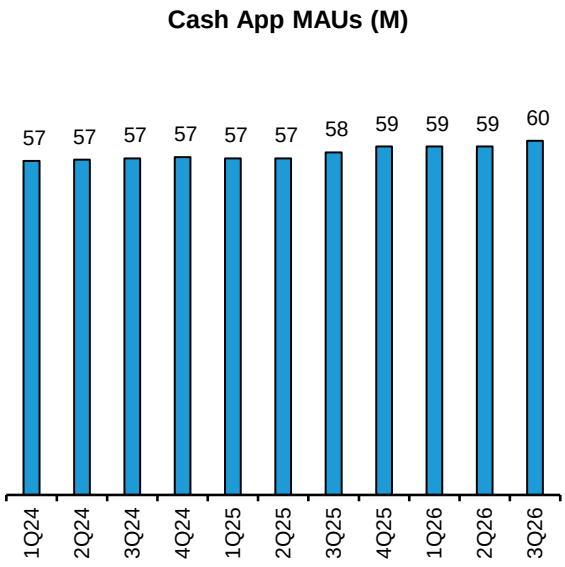
EXHIBIT 9: **US GPV stayed flat from 9.8% last quarter to 10% this quarter (in-line with V/MA) and international grew 26% cc (vs 25%/26%/25% cc in 2q/1q26/4q25)**



Source: Company reports, Bernstein analysis

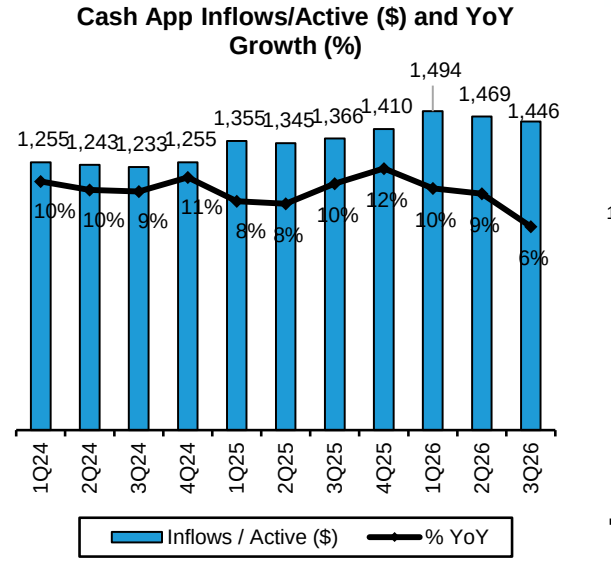
CASH APP

EXHIBIT 10: **Cash App MAUs grew to 60M in 3q, vs stagnant users at 59M for the last 3 quarters..**



Source: Company reports, Bernstein analysis

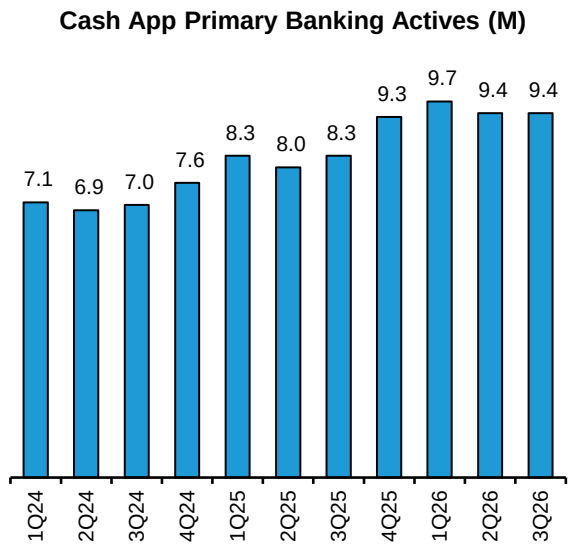
EXHIBIT 11: **Inflows/active grew 6% in the qtr**



Source: Company reports, Bernstein analysis

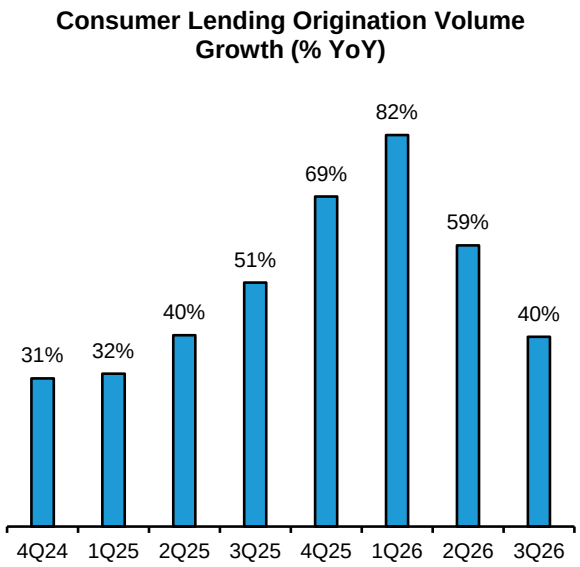
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EXHIBIT 12: **Block's primary banking actives were 9.4M in the quarter, flat vs 2q**



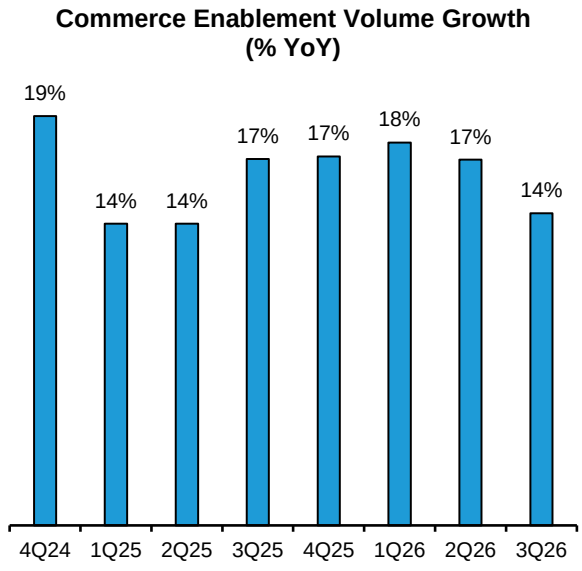
Source: Company reports, Bernstein analysis

EXHIBIT 13: **Consumer Lending Origination Volume grew 40% this quarter to $19B**



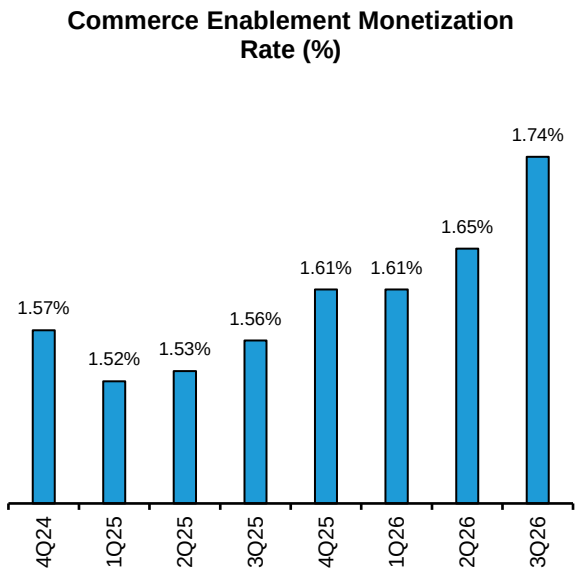
Source: Company reports, Bernstein analysis

EXHIBIT 14: **Commerce Enablement Volume grew 14% this quarter**



Source: Company reports, Bernstein analysis

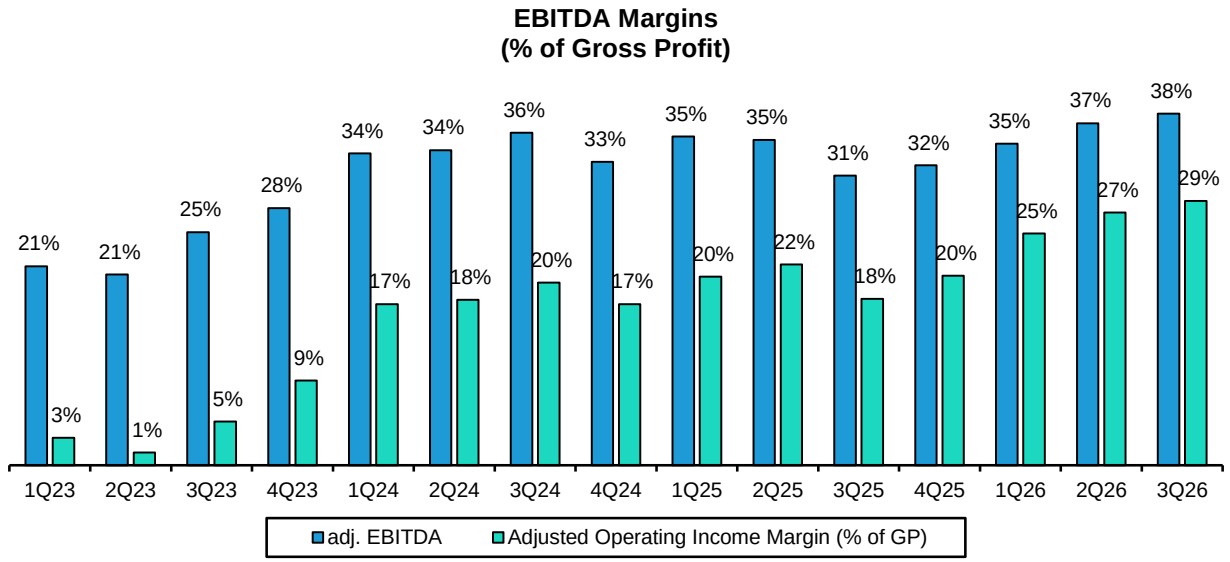
EXHIBIT 15: **Cash App Commerce Enablement Monetization Rate came in stronger this quarter at 1.74%**



Cash App Commerce Enablement Monetization Rate is calculated by dividing Cash App Commerce Enablement gross profit by Cash App Commerce Enablement volume
Source: Company reports, Bernstein analysis

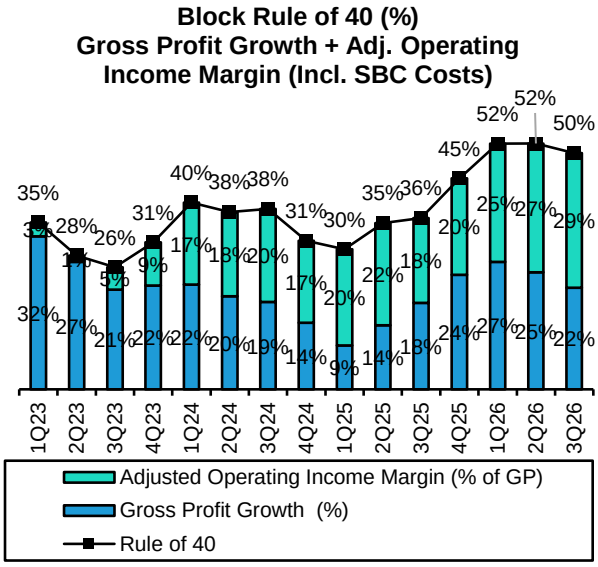
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EXHIBIT 16: **Adjusted EBITDA margins came in at 38% this qtr, with adj. Operating Income as a % of GP at 29% (vs 27% last qtr)**



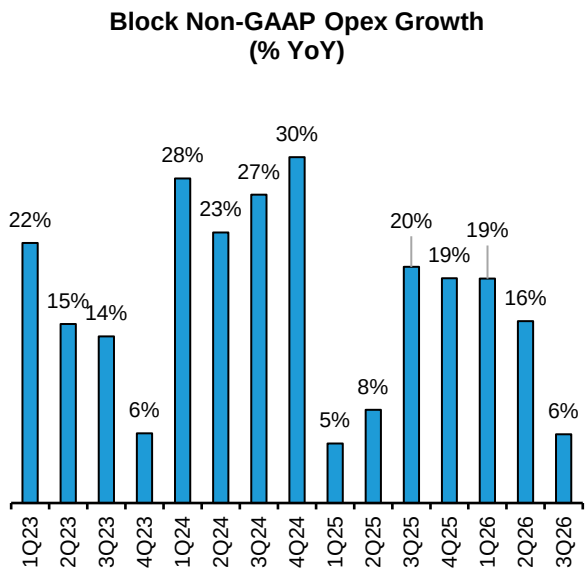
Source: Company reports, Bernstein analysis

EXHIBIT 17: **Block achieved Rule of 50 this qtr**



Source: Company reports, Bernstein analysis

EXHIBIT 18: **Overall adj. Operating Expense grew 6% in the qtr**



Source: Company reports, Bernstein analysis

PLEASE SEE LINKS TO OUR RECENT RESEARCH

- Agentic Commerce's Wild West, Stablecoins Finally Coming of Age: Insights from Money2020 Conference (October 2026)
- Consumer AI agents: The next Payments battle.. (October 2026)
- Consumer AI Agents: Is this the Wild West? How will incumbents respond? (October 2026)

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- The rise of consumer AI agents: What does it mean for Financial Services? (September 2026)
- Weekend Tech Byte: Agentic Commerce - resurrected from the dead? Is Payments the winner this time? (September 2026)
- Block: Neighborhoods scaling 10x; is it a big deal? (August 2026)
- Block: The audacious goal to reduce headcount by 40%; a seismic moment for AI or idiosyncratic reduction of organizational bloat? (February 2026)
- Block Investor Day: Commodity or Not? (November 2025)
- Payments: Ripe for stock-picking? (Sep 2025)
- Block: The Borrow Debate; our perspectives (August 2025)
- Block: S&P Inclusion; Path to Positive Revisions and Catalyst-Rich 2H25 (July 2025)
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- Block — our new best idea and our deep dive slide deck (Dec 2024)
- Block (SQ): Is S&P500 inclusion imminent, and does it matter? (Dec 2024)
- Payments: The Money Machine (May 2024)

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APPENDIX - FINANCIAL FORECASTS

EXHIBIT 19: **Block Financial Statements**

Income Statement *$ million, except per share*	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
REVENUE										
Block Net revenue	**4,714**	**9,498**	**17,661**	**17,532**	**21,916**	**24,121**	**24,194**	**25,806**	**28,769**	**31,965**
% y/y growth	*43%*	*101%*	*86%*	*(1%)*	*25%*	*10%*	*0%*	*7%*	*11%*	*11%*
GROSS PROFIT										
Block Gross Profit	**1,890**	**2,733**	**4,410**	**5,992**	**7,505**	**8,889**	**10,360**	**12,534**	**14,527**	**16,779**
% y/y growth	*45%*	*45%*	*61%*	*36%*	*25%*	*18%*	*17%*	*21%*	*16%*	*15%*
ADJUSTED EBITDA										
Adjusted EBITDA	**417**	**474**	**1,014**	**991**	**1,788**	**3,029**	**3,467**	**4,813**	**6,312**	**7,678**
EBITDA/Gross Profit	*22%*	*17%*	*23%*	*17%*	*24%*	*34%*	*33%*	*38%*	*43%*	*46%*
Adjusted Operating Income	**51**	**8**	**299**	**(145)**	**351**	**1,609**	**2,084**	**3,465**	**4,717**	**5,762**
% margin (on Gross profit)	*3%*	*0%*	*7%*	*(2%)*	*5%*	*18%*	*20%*	*28%*	*32%*	*34%*
Non-GAAP Net Income (Diluted)	**388**	**426**	**893**	**613**	**1,131**	**1,243**	**1,479**	**2,432**	**3,253**	**4,198**
% y/y growth	*72%*	*10%*	*109%*	*(31%)*	*84%*	*10%*	*19%*	*64%*	*34%*	*29%*
Non-GAAP EPS (Diluted)	**0.80**	**0.84**	**1.71**	**1.00**	**1.83**	**1.95**	**2.36**	**4.03**	**5.43**	**7.02**
% y/y growth	*70%*	*5%*	*103%*	*(41%)*	*83%*	*7%*	*21%*	*70%*	*35%*	*29%*

Balance Sheet *$ million*	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash	1,047	3,158	4,444	4,544	4,996	8,075	6,564	5,526	6,705	9,506
Short-Term Investments	492	695	869	1,082	852	403	518	-	-	-
Restricted Cash	-	-	-	-	-	-	-	-	-	-
Receivables	589	1,025	1,172	2,416	3,226	1,061	1,360	3,569	5,730	7,385
Other	1,092	2,884	4,036	7,581	9,783	10,341	10,514	11,419	12,389	13,385
Current Assets	**3,220**	**7,762**	**10,521**	**15,623**	**18,857**	**19,880**	**18,956**	**20,514**	**24,824**	**30,275**
Payables	290	450	897	1,937	3,226	3,319	6,973	7,324	7,324	7,324
Other	(94)	49	(527)	(1,452)	(2,486)	(278)	(3,411)	(4,483)	(4,453)	(4,418)
Current Liabilities	**196**	**499**	**371**	**484**	**739**	**3,041**	**3,562**	**2,841**	**2,871**	**2,906**
Working Captial	**3,023**	**7,262**	**10,150**	**15,139**	**18,118**	**16,840**	**15,394**	**17,673**	**21,954**	**27,369**
PP&E	1,047	3,158	4,444	4,544	4,996	8,075	6,564	5,526	6,705	9,506
Goodwill	492	695	869	1,082	852	403	518	-	-	-
Intangibles	-	-	-	-	-	-	-	-	-	-
Other	1,478	3,587	4,598	8,514	10,502	10,076	8,802	11,413	14,545	17,195
Non-Current Assets	**3,017**	**7,440**	**9,911**	**14,140**	**16,351**	**18,555**	**15,884**	**16,940**	**21,250**	**26,701**
Non-Current Liabilities	**4,551**	**9,870**	**13,926**	**31,364**	**34,070**	**36,778**	**39,550**	**40,177**	**44,329**	**49,627**
Assets	**6,237**	**15,201**	**20,431**	**29,763**	**35,208**	**38,435**	**34,840**	**37,454**	**46,074**	**56,976**
Liabilities	**4,748**	**10,369**	**14,296**	**31,849**	**34,809**	**39,818**	**43,112**	**43,018**	**47,199**	**52,533**
Equity	**1,489**	**4,833**	**6,135**	**(2,086)**	**399**	**(1,383)**	**(8,272)**	**(5,564)**	**(1,125)**	**4,442**

Cash Flow *$ million*	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income + DD&A	451	297	294	(212)	387	3,243	1,674	1,387	3,625	4,585
Share-based compensation	298	398	608	1,071	1,276	1,273	1,215	1,195	1,273	1,553
Change in operating assets/liabilities	(111)	(341)	(553)	(674)	(1,239)	(590)	(784)	(1,291)	(1,144)	(953)
Other	225	(13)	267	(8)	(324)	(2,218)	475	1,734	1,854	2,253
Cash Flow from Operations	**863**	**342**	**616**	**176**	**101**	**1,707**	**2,580**	**3,025**	**5,608**	**7,438**
Capex + Acquisitions	(83)	(218)	(298)	369	(156)	(154)	(155)	(176)	(230)	(256)
Other	(307)	(721)	(1,266)	857	839	804	(2,647)	(1,624)	(2,949)	(3,318)
Cash Flow from Investments	**(390)**	**(938)**	**(1,565)**	**1,226**	**683**	**650**	**(2,802)**	**(1,800)**	**(3,179)**	**(3,574)**
Repurchase	-	-	-	-	(157)	(1,170)	(2,331)	(1,701)	(1,000)	(800)
Other	-	-	(163)	98	(83)	3,123	1,718	(388)	(251)	(263)
Cash Flow from Investments	**-**	**-**	**(163)**	**98**	**(240)**	**1,953**	**(613)**	**(2,089)**	**(1,251)**	**(1,063)**
Net Increase (Decrease) in Cash	**477**	**(584)**	**(1,118)**	**1,499**	**544**	**4,310**	**(835)**	**(864)**	**1,178**	**2,801**
Free Cash Flow	**265**	**35**	**482**	**5**	**(50)**	**1,553**	**2,425**	**2,850**	**5,378**	**7,183**

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BERNSTEIN TICKER TABLE

			3 Nov 2026		TTM	Adjusted EPS				EV/EBIT (x)		
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
XYZ (Block Inc)	O	USD	76.00	95.00	(5.8)%	USD	2.36	4.03	5.43	20.8	12.5	9.2
SPX			7,568.92									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

Block Inc

We value Block using a EV/Adjusted Operating Income approach. Our $95 target price is based on 12x EV/Adj. Operating Income multiple and our 2027 Adj. Operating Income estimate of $4.72B.

RISKS

Block Inc

Downside risks to our price target include:
Competitive and business risks:

- More acute impact from competitive pressures than we estimate, especially among larger SME clients
- Slower ability to develop and roll out new products or grow existing products than we estimate
- Slower ability to expand operating margins than we estimate

Macroeconomic risks:

- Slowing economy slowing the growth in payment volumes, especially among SMEs

Operational risks:

- Disruption due to cyber-attacks or a technical failure
- Reputational risks from potential weaknesses in compliance and on-boarding processes (Cash App)

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

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- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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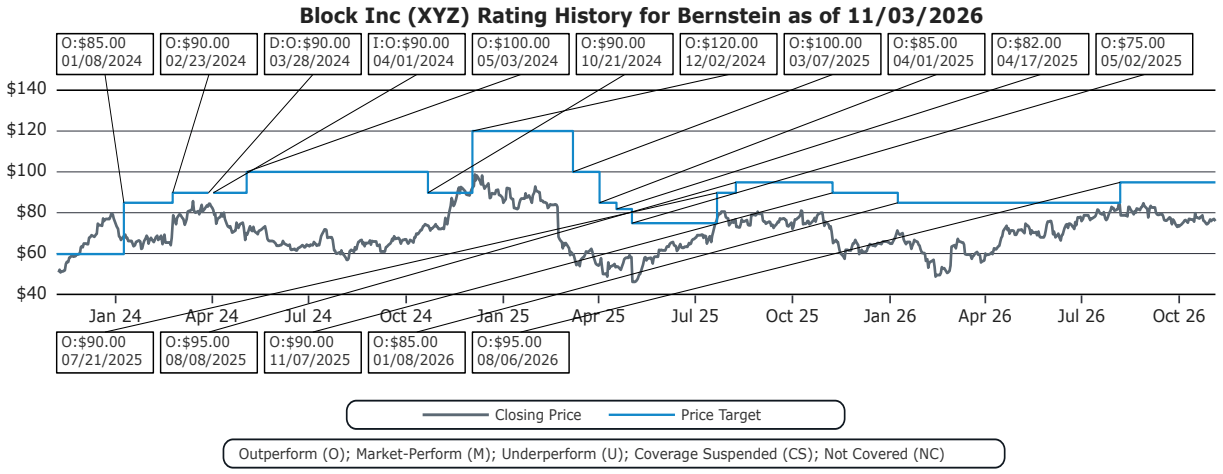
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

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